

Acceptance by Conduct

How actions can show agreement to a contract

A shop offers a supplier £120 for ten boxes of paper. Instead of replying “I accept”, the supplier delivers exactly those boxes in response to the order. Can that action show agreement? In English contract law, acceptance can sometimes be expressed through conduct.

This guide explains how to recognise such acceptance, why a private decision is insufficient, and how instructions about the method of acceptance affect the answer. It is written for English students with no previous legal knowledge.

1 Start with offer and acceptance

An **offer** proposes sufficiently clear terms and shows a willingness to be bound if they are accepted. The **offeror** makes the offer; the **offeree** receives it. **Acceptance** is agreement to the offer’s terms. A response proposing different terms may instead be a counter-offer.

METHOD	WHAT SHOWS AGREEMENT?
Express acceptance	Words: “I accept your offer”, spoken or written.
Acceptance by conduct	Actions that objectively show acceptance of the proposed terms.
Private intention	An unexpressed decision in someone’s mind; this alone is insufficient.

2 What does “objectively” mean?

The question is what the parties’ words and actions communicate in their context. A court considers the outward evidence of agreement, rather than relying only on someone’s hidden thoughts. The conduct must support the conclusion that the relevant terms were accepted.

In the paper example, delivery in response to the specified order may show acceptance. Buying extra paper for the supplier’s own warehouse is different: it could simply be preparation for several possible customers.

3 Acceptance is not the whole checklist

An ordinary simple contract generally also requires **consideration** (something of value exchanged for a promise) and **intention to create legal relations**. Capacity, certainty, lawful purpose and any required formalities may also matter.

Conduct is a way of showing agreement. It does not automatically cure missing terms or remove legal requirements. Equally, the absence of a signature does not by itself prove that no contract exists.

Brogden: Agreement in Practice

Brogden v Metropolitan Railway Co
(1877) 2 App Cas 666 | House of Lords

4 The coal-supply dispute

Brogden's firm had supplied coal to the railway. To formalise the arrangement, the railway sent a draft. Brogden filled blanks, added an arbitrator's name, marked it "approved" and returned it. The railway's agent put it in a drawer without expressly accepting the amended document.

The parties then ordered, supplied and paid for coal on the draft's terms. Brogden later stopped supplying and denied a binding contract. The railway sued for breach.

5 The decision and who won

The amended draft was treated as a counter-offer. The railway's subsequent dealings demonstrated acceptance. Keeping the paper in a drawer alone did not establish assent: the outward course of dealing mattered.

Outcome: the railway won. The House of Lords dismissed Brogden's appeal and affirmed the judgment against the suppliers for breach. The contract could bind them despite the absence of formal completion of the document.

6 Read the parties' roles carefully

PARTY	ROLE IN THE DISPUTE
Brogden's firm	Coal suppliers; defendants in the original action and appellants in the House of Lords.
Metropolitan Railway	Coal buyer; claimant in the original action and respondent to the appeal.

A **claimant** brings an action; a **defendant** answers it. An **appellant** challenges a lower court's decision. A **respondent** answers that appeal. These labels identify procedural roles; they do not tell you who is right.

7 Practise the reasoning with a new example

A café offers £80 for twenty matching mugs. The supplier replies that it can provide twenty mugs for £90. That is a proposed change, not acceptance of the £80 offer. The café then orders the mugs at £90 and pays that amount when they arrive.

Those actions may show acceptance of the supplier's counter-offer. Explain which proposal the conduct answers: "they did business" is less precise than identifying the goods, price and actions showing agreement.

Instructions and Unfinished Documents

8 Is the stated method compulsory?

Read the offer's instructions carefully. A clearly exclusive method of acceptance generally must be followed, unless the requirement is waived. Merely suggesting a method does not necessarily exclude every other effective means of acceptance.

Manchester Diocesan Council for Education v Commercial and General Investments Ltd [1970] 1 WLR 241 distinguishes a mandatory method from a suggested one. Where the indicated method is not exclusive, another method no less advantageous to the offeror may suffice.

ILLUSTRATIVE WORDING	HOW TO APPROACH IT
"Please reply by email."	Consider whether this indicates a convenient method or insists on an exclusive one.
"Acceptance is effective only when your signed reply reaches this email address."	A clear restriction: starting work alone would ordinarily not satisfy it.
"Begin the agreed work to accept this offer."	The offer invites acceptance by the specified conduct.

9 What does "waived" mean?

To **waive** a requirement means to give up the right to insist on it. Later words or conduct may show that the relevant party no longer insists on an acceptance procedure. Do not assume waiver merely because it would be convenient; identify evidence supporting it.

10 Work can begin before a contract is settled

People sometimes begin a project while still negotiating. Starting work is evidence to examine, not an automatic answer. Ask whether essential matters are agreed and whether the parties intend to be bound immediately.

Subject to contract commonly signals that the arrangement is not to bind the parties until a formal contract is concluded. Such a condition can later be waived, but continuing work does not invariably prove that this happened.

A modern illustration: RTS Flexible Systems

In *RTS Flexible Systems Ltd v Müller* [2010] UKSC 14, machinery work began before a final document was signed. The Supreme Court found a binding agreement and held that the parties had waived their subject-to-contract condition.

Outcome: Müller's appeal succeeded; the Court of Appeal's finding of no contract was set aside. This decided contract formation and terms, rather than announcing who won every issue in the equipment dispute.

Analysis and Legal English

11 A five-step method

Identify the offer. What terms were proposed, and by whom?

Read the instructions. Is an acceptance method clearly exclusive?

Identify the conduct. Who did what, when, and in response to which terms?

Consider other explanations. Could this be preparation or ongoing negotiation?

Reach a reasoned conclusion. Explain the outward evidence of agreement, then check the other formation requirements.

12 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Conduct	A person's actions or behaviour.
Infer / inference	Reach a conclusion from evidence / the conclusion reached.
Express / implied acceptance	Acceptance stated in words / acceptance inferred from actions.
Performance	Carrying out what the agreement requires.
Prescribed method	A stated way of accepting an offer.
Waiver	Giving up the right to insist on a requirement.

13 Check your understanding

1. A supplier privately decides to accept but does nothing outwardly. Is that enough?
2. In *Brogden*, did putting the draft in a drawer alone establish acceptance?
3. Does “please reply by email” always exclude acceptance in another way?
4. If work has started, must there always be a binding contract?

Answers: 1. No, private intention alone is insufficient. 2. No; the subsequent dealings on the draft's terms mattered. 3. No; distinguish a suggested method from a clearly exclusive requirement. 4. No; examine the agreed terms, outward intention and any conditions.

Authorities and source material

Brogden v Metropolitan Railway Co (1877) 2 App Cas 666: reproduced law report. *Manchester Diocesan Council for Education v Commercial and General Investments Ltd* [1970] 1 WLR 241, pp 245-246: reproduced law report.

RTS Flexible Systems Ltd v Müller [2010] UKSC 14, especially paras 45 and 85-87: Supreme Court case record and official summary.

Based on the supplied *Acceptance by Conduct - Contract Law* lesson, with case details clarified. Examples are simplified for beginners and concern English contract law.